

EV Tariffs

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What are Tariffs?

- Tariffs are a tax on all goods and services imported into a country.
- Tariffs are traditionally used to stabilize an economy and act as a limit to imports and exports, rather than an actual income source.
- Consumers end up paying for tariffs, as exporters are able to raise prices to counteract any lost income.



What Prompts Electric Vehicle Tariffs?

- The US has an incentive to protect their EV companies, like Tesla and GM, as they create jobs. Canada has an incentive to make the US happy, as they are our biggest trade partner.
- In both Canada and the US, there is a 100% tariff on all chinese-made electric cars.



North American EV Industry

- America's EV industry sucks, and Tesla is incredibly overvalued as a company.
- While there are North American EV factories, they are built with Chinese steel, filled with Chinese machines, and they are assembling cars with Chinese components.



The North American EV Industry is Just Tesla

- Tesla's market cap is higher than Suzuki, Hyundai, Subaru, Ferrari, BMW, Mercedes-Benz, Volkswagen, Ford, GM, Porsche, Kia, Honda, Nissan and Mazda combined.
- Tesla's revenue is roughly 1/16 that of the listed companies.



The Chinese EV Industry

- Chinese electric cars are absolutely amazing
- Chinese EVs are far cheaper, and often better quality than their North American equivalents.
- BYD is selling far more electric cars than any American EV company.



\$1200 Chinese Electric Car, Changli Freeman



Chinese Jumping Cars

- BYD, has designed a car that can dance and jump over potholes, with a top speed of around 500 km/hour.
- It is the fastest consumer electric car on Earth, beating out the fastest American Electric car (Tesla Model S Plaid) by roughly 175km/h.



Job Security

- EV Tariffs are beneficial to those who work for the businesses that make them domestically.
- Car dealerships would benefit greatly from a reduced EV tariff.
- The shipping industry is greatly affected by the EV tariff.



Are The Tariffs Doing Their Job?

- Tariffs are supposed to bolster the economy, by forcing businesses to produce domestically rather than overseas.
- This model only works when there is significant competition within an industry.
- Tesla has no real competition within North America.
- The tariffs only hurt consumers.



In Conclusion...

- Tariffs only work in competitive, profitable industries that are already well established domestically. The North American EV industry is far too small.
- The EV tariffs hurt consumers by raising EV prices. They also hurt businesses, such as car dealerships and shipping companies.

